Taihan Electric Wire (001440 KS)

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UHV growth overshadowed by forex

3Q26 review: profitability worsens on sharp forex rate decline

Taihan Electric Wire posted 3Q26 consolidated revenue of W1.18tn (+37.6% YoY, -1.9% QoQ) and OP of W30.9bn (+4.5% YoY, -49.3% QoQ, OPM 2.6%), far below consensus. Sluggish earnings were mainly attributable to weaker profitability in the materials business due to won appreciation. As the materials business recognizes revenue at the current month's forex rate, while high forex rates from about two months prior are reflected in COGS, margin narrowed amid sharp won appreciation in 3Q26. Moreover, higher shipping freight rates from shipment delays in the Middle East and refurbishment costs for new cable-laying vessel weighed on earnings. On the other hand, UHV/submarine cable revenue grew to W240.3bn (+36.5% YoY) and revenue recognition of high-margin global projects expanded. We believe sluggish earnings were driven more by external variables including forex, rather than a slowdown in UHV demand.

Profit to recover in 4Q26, UHV growth to continue

We estimate 4Q26 revenue at W1.15tn (+13.6% YoY) and OP at W44.5bn (+2.5% YoY, +44.0% QoQ, OPM 3.9%). We expect earnings to recover as the timing mismatch between revenue and cost recognition at the materials business eases, revenue at overseas subsidiaries expands, and UHV project revenue increases. However, factoring in the completion of some industrial cable projects and vessel-related costs, margin recovery to the 1H26 level will likely be limited. We estimate 2027 sales at W5.09tn (+10.5% YoY) and OP at W224.5bn (+14.2% YoY, OPM 4.4%). Increased production at the Vietnam UHV plant and the conversion of high-margin order backlog into revenue should support profit growth.

Revise down target price to W39,000, growth trajectory remains intact

We revise down our target price to W39,000. We revised our earnings estimates to reflect the impact of forex and the muted recovery in profitability, but we maintain our view on mid- to long-term growth potential. New orders in 3Q26 came to W809bn and order backlog W4.31tn, up 6.0% QoQ. In particular, Europe's share of the order backlog rose from 14% to 20%, with high-margin orders centered on advanced nations growing. In 2028, OP will likely come to W306.2bn (+36.4% YoY) on rising utilization at the Vietnam plant and the start of production at submarine cable plant 2. In the short term, profit normalization from the easing impact of forex seems crucial, while in the mid to long term, an expanding revenue mix of UHV/submarine cables will likely drive profitability improvement.

BUY (M)

Target price	W39,000 (Down)
Previous target price	W48,500
Current price (Oct 29)	W20,500
Upside potential	90%

Market cap (Wbn)	4,018
Shares outstanding	195,992,596
Avg daily T/O (2M, Wbn)	57
Avg daily volume (2M, shrs)	1,997,738
52-week high/low (won)	72,300 / 20,450
Foreign ownership (%)	9.17%
Dividend yield (%)	0.00%
Major shareholders	Hoban E&C & others

Stock performance

(%)	1M	3M	12M
Absolute	(30.5)	(7.7)	(5.5)
Relative	(19.6)	(11.9)	(35.1)
Abs (US$)	(29.5)	(0.1)	1.2

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,176	37.6	-1.9	1,058	11.2
OP	31	4.5	-49.3	48	-36.1
Pre-tax net profit	33	-24.3	TTB	44	-25.2
Net profit, CI	31	-21.6	TTB	38	-18.4
OPM (%)	2.6	-0.9 %pt	-2.5 %pt	4.6	-2.0 %pt
NPM (%)	2.6	-2.0 %pt	TTB	3.6	-1.0 %pt

Note: CI = controlling interest, TTB = turn to black

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,291	3,636	4,605	5,089
OP	115	129	197	225
Net profit, CI	70	84	-10	117
P/E (x)	30.2	35.2	-386.7	34.3
P/B (x)	1.6	1.8	2.4	2.2
EV/EBITDA (x)	14.6	19.7	19.8	17.8
ROE (%)	5.8	5.5	-0.6	6.8

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Taihan Electric Wire: 3Q26 review (Wbn)

	3Q26P	3Q25	YoY	2Q26	QoQ	Our estimate	Diff
Sales	1,176.4	855.0	37.6%	1,198.7	-1.9%	946.8	24.3%
OP	30.9	29.5	4.5%	60.8	-49.3%	44.8	-31.1%
OPM (%)	2.6%	3.5%	-0.8%p	5.1%	-2.5%p	4.7%	-2.1%p

Source: Yuanta Securities

Earnings estimate revision (Wbn)

	Old			New			Difference		
	4Q26E	2026E	2027E	4Q26E	2026E	2027E	4Q26E	2026E	2027E
Sales	1,037.2	4,266	4,986	1,146.3	4,604.8	5,088.5	10.5%	7.9%	2.0%
OP	50.8	217	261	44.5	196.6	224.5	-12.5%	-9.3%	-13.9%
OPM (%)	4.9%	5.1%	5.2%	3.9%	4.3%	4.4%	-1.0%p	-0.8%p	-0.8%p

Source: Yuanta Securities

Taihan Electric Wire: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	**855.5**	**916.4**	**855.0**	**1,009.2**	**1,083.4**	**1,198.7**	**1,176.4**	**1,146.3**	**3,636.0**	**4,604.8**	**5,088.5**
UHV/submarine cable	114.4	150.2	176.0	252.8	206.2	237.4	240.3	290.0	693.4	973.9	1,164.9
Industrial cable (MV/LV)	113.8	128.4	112.1	104.1	133.3	150.1	133.5	122.0	458.4	538.9	582.0
Materials & other	488.0	490.3	440.2	482.1	558.5	671.8	625.9	535.1	1,900.6	2,391.3	2,561.1
Communication	15.8	16.5	15.1	18.3	16.2	19.0	20.2	19.2	65.7	74.6	79.1
Subsidiaries/cons adj	123.5	131.0	111.6	151.9	169.2	120.5	156.5	180.0	518.0	626.2	701.3
% YoY	***8.5%***	***6.0%***	***6.3%***	***21.0%***	***26.6%***	**30.8%**	**37.6%**	**13.6%**	**10.5%**	**26.6%**	**10.5%**
UHV/submarine cable	*-17.1%*	*5.0%*	*-8.5%*	*20.3%*	*80.2%*	58.1%	36.5%	14.7%	1.4%	40.5%	19.6%
Industrial cable (MV/LV)	*-20.0%*	*-14.6%*	*-21.3%*	*-21.0%*	*17.1%*	16.9%	19.1%	17.2%	-19.1%	17.6%	8.0%
Materials & other	*13.9%*	*4.1%*	*5.3%*	*23.3%*	*14.4%*	37.0%	42.2%	11.0%	11.2%	25.8%	7.1%
Communication	*-13.2%*	*0.6%*	*-1.9%*	*26.2%*	*2.5%*	15.2%	33.8%	5.0%	1.9%	13.6%	6.0%
Subsidiaries/cons adj	*100.6%*	*56.9%*	*208.0%*	*75.0%*	*37.1%*	-8.0%	40.2%	18.5%	93.2%	20.9%	12.0%
Sales portion (%)											
UHV/submarine cable	13.4%	16.4%	20.6%	25.0%	19.0%	**19.8%**	**20.4%**	**25.3%**	**19.1%**	**21.1%**	**22.9%**
Industrial cable (MV/LV)	13.3%	14.0%	13.1%	10.3%	12.3%	12.5%	11.3%	10.6%	12.6%	11.7%	11.4%
Materials & other	57.0%	53.5%	51.5%	47.8%	51.6%	56.0%	53.2%	46.7%	52.3%	51.9%	50.3%
Communication	1.8%	1.8%	1.8%	1.8%	1.5%	1.6%	1.7%	1.7%	1.8%	1.6%	1.6%
Subsidiaries/cons adj	14.4%	14.3%	13.1%	15.1%	15.6%	10.1%	13.3%	15.7%	14.2%	13.6%	13.8%
OP	**27.1**	**28.6**	**29.5**	**43.4**	**60.4**	**60.8**	**30.9**	**44.5**	**128.6**	**196.6**	**224.5**
% YoY	-5.8%	-23.6%	8.5%	99.1%	122.9%	113.0%	4.5%	2.5%	11.7%	52.9%	14.2%
OPM (%)	3.2%	3.1%	3.5%	4.3%	5.6%	5.1%	2.6%	3.9%	3.5%	4.3%	4.4%

Source: Yuanta Securities

Taihan Electric Wire: peer valuation (Wbn, EURmn, JPYbn)

		Taihan Electric Wire	Gaon Cable	Iljin Electric	LS Eco Energy	Prysmian (PRY)	Nexans (NEX)	NKT A/S (NKT)	Sumitomo Electric (5802)
Market cap		**4,018**	7,132	2,670	1,608	34,901	5,939	6,149	5,429
Sales	2025	**3,636**	2,546	2,045	960	19,650	5,541	3,565	7,810
	2026E	**4,605**	3,327	2,371	1,312	22,763	5,873	3,523	6,754
	2027E	**5,089**	4,466	2,522	1,490	25,918	6,262	4,146	7,826
	2028E	**5,839**	5,410	2,663	1,667	28,070	6,655	4,822	8,282
OP	2025	**129**	79	151	67	1,909	484	257	376
	2026E	**197**	149	254	87	2,181	577	274	541
	2027E	**225**	261	285	101	2,619	688	393	651
	2028E	**306**	406	314	122	3,099	761	548	770
OPM	2025	**3.5%**	3.1%	7.4%	7.0%	9.7%	8.7%	7.2%	4.8%
	2026E	**4.3%**	4.5%	10.7%	6.6%	9.6%	9.8%	7.8%	8.0%
	2027E	**4.4%**	5.8%	11.3%	6.8%	10.1%	11.0%	9.5%	8.3%
	2028E	**5.2%**	7.5%	11.8%	7.3%	11.0%	11.4%	11.4%	9.3%
Net profit, CI	2025	**84**	52	104	49	1,270	360	275	352
	2026E	**-10**	96	178	54	1,460	428	227	311
	2027E	**117**	195	205	64	1,962	510	303	403
	2028E	**150**	293	250	78	2,436	565	429	497
P/E (x)	2025	**50.7**	25.6	25.0	25.2	20.0	9.9	21.8	25.6
	2026E	**94.8**	74.2	15.0	29.8	23.9	13.9	27.0	17.5
	2027E	**34.3**	36.5	13.0	25.0	17.8	11.7	20.3	13.5
	2028E	**26.8**	24.3	10.7	20.6	14.3	10.5	14.3	10.9
P/B (x)	2025	**2.7**	2.8	4.4	5.0	4.5	3.2	2.7	2.3
	2026E	**2.4**	12.4	3.7	6.4	4.2	1.8	2.7	2.5
	2027E	**2.2**	9.4	3.0	5.3	3.5	1.7	2.4	2.2
	2028E	**1.9**	7.0	2.5	4.4	3.0	1.5	2.1	1.9

Note: CI = controlling interest, figures for Taihan Electric Wire, Iljin Electric, and Gaon Cable are our estimate; market cap as of Oct 29, 2026

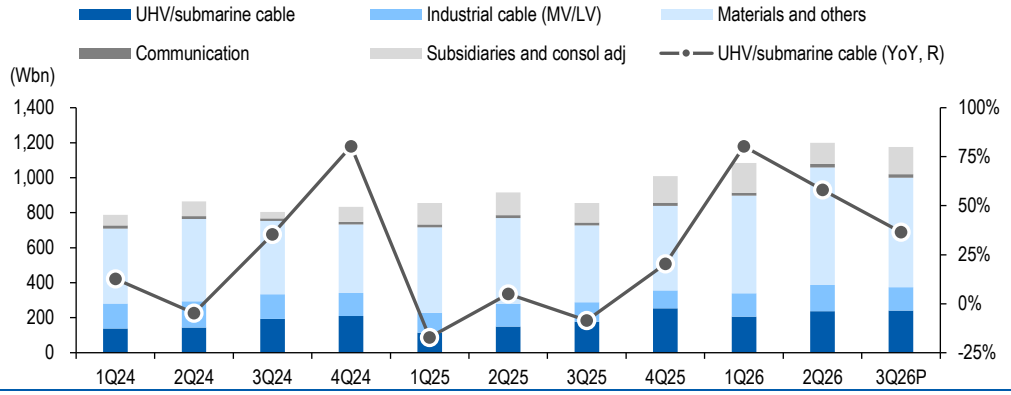
Source: Bloomberg, Yuanta Securities

Taihan Electric Wire: valuation calculation table

	Value	Note
2027E BPS (won)	9,223	(a)
Target P/B (x)	4.2	(b), applied a 30% discount to domestic peers' average 2027E P/B
Value per share (won)	38,737	(c)=(a)*(b)
Target price (won)	39,000	-
Current price (won)	20,500	Close price on Oct 29, 2026
Upside (%)	90	-

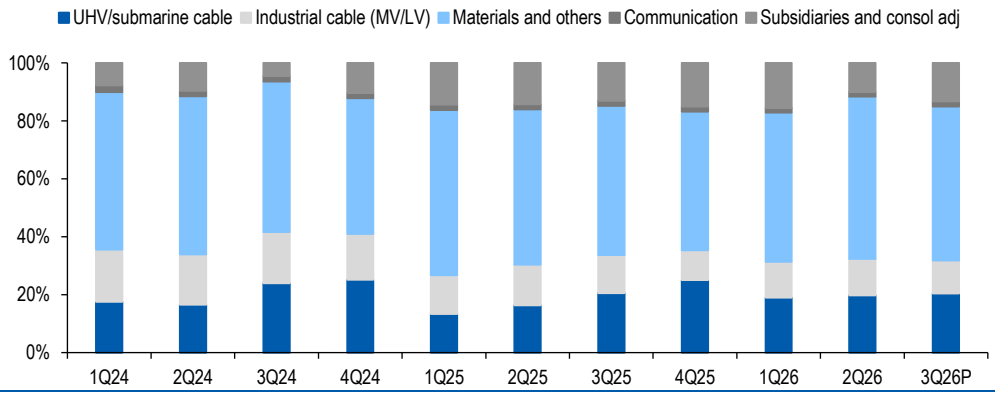
Source: Yuanta Securities

Taihan Electric Wire: revenue share by business



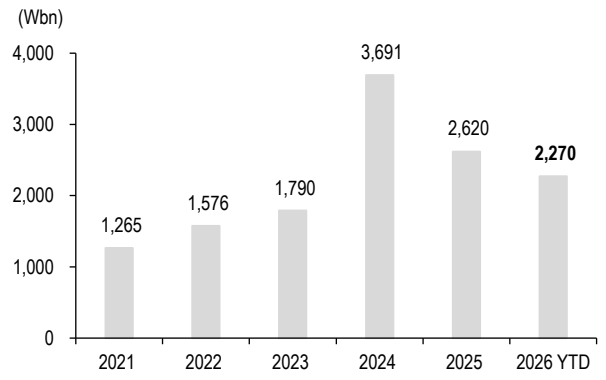
Source: company data, Yuanta Securities

Taihan Electric Wire: revenue by business



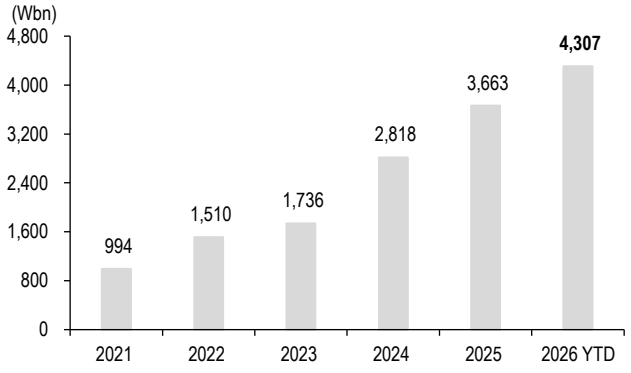
Source: company data, Yuanta Securities

Taihan Electric Wire: annual new order trend



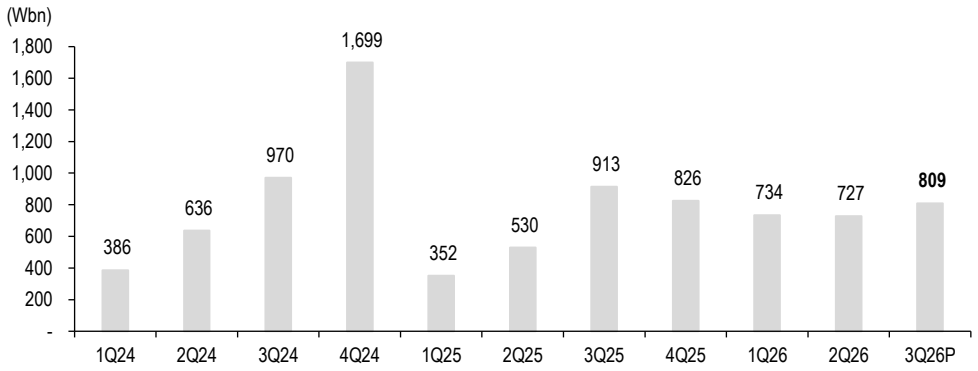
Source: company data, Yuanta Securities

Taihan Electric Wire: annual order backlog trend



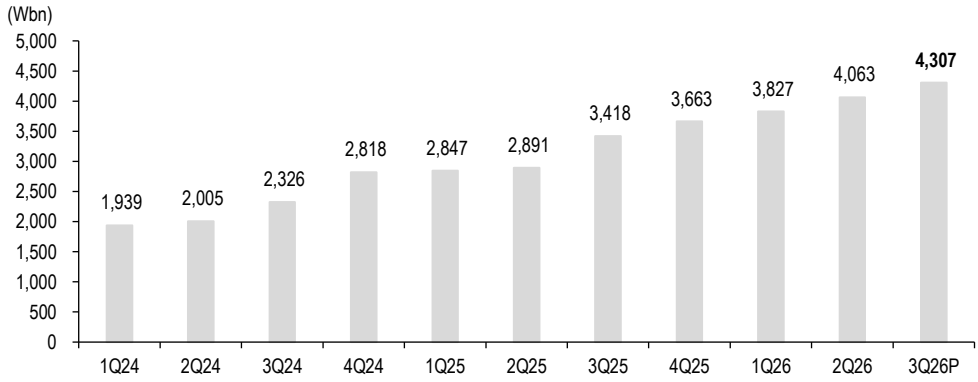
Source: company data, Yuanta Securities

Taihan Electric Wire: new orders



Source: company data, Yuanta Securities

Taihan Electric Wire: order backlog



Source: company data, Yuanta Securities

Taihan Electric Wire (001440 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,291**	**3,636**	**4,605**	**5,089**	**5,839**
Cost of sales	3,028	3,353	4,207	4,635	5,258
Gross profit	263	283	398	453	581
SG&A	148	155	201	229	275
Operating profit	**115**	**129**	**197**	**225**	**306**
EBITDA	144	167	232	258	337
Non-operating profit	-39	-92	-209	-76	-103
Forex gains	16	0	2	6	5
Net interest income	-15	-27	-43	-47	-48
Equity-method gains	-1	-1	-1	-1	-1
Other	-40	-64	-168	-34	-59
Net prof before income tax	76	37	-13	149	204
Income tax	2	-53	-2	24	44
Net profit from continuing ops	74	90	-11	125	160
Net profit from discontinued ops	0	0	0	0	0
Net profit	74	90	-11	125	160
NP for controlling interest	**70**	**84**	**-10**	**117**	**150**
Total comprehensive income	83	137	36	172	206
Total comprehensive income, CI	77	129	34	162	195

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,776**	**2,423**	**2,642**	**2,890**	**3,250**
Cash & cash equivalents	333	439	143	131	86
Accounts receivables & other	491	676	848	937	1,075
Inventory	597	856	1,084	1,198	1,375
Non-current assets	867	1,071	1,140	1,189	1,232
Tangible assets	712	848	913	960	999
Investment in affiliates	4	4	5	5	6
Other investment assets	28	40	44	46	49
Total assets	**2,643**	**3,493**	**3,782**	**4,080**	**4,482**
Current liabilities	920	1,684	1,932	2,056	2,249
Accounts payable & other	458	540	684	756	868
ST financial liabilities	142	460	460	460	460
Liquid LT liabilities	20	210	210	210	210
Non-current liabilities	226	177	182	184	187
LT financial liabilities	210	155	155	155	155
Debentures	0	0	0	0	0
Total liabilities	**1,147**	**1,861**	**2,114**	**2,240**	**2,436**
Equity, controlling interest	1,473	1,602	1,638	1,802	1,998
Paid-in capital	186	186	186	186	186
Capital surplus	1,154	1,155	1,155	1,155	1,155
Retained earnings	385	470	459	576	726
Equity, non-controlling interest	23	31	30	38	48
Total equity	**1,496**	**1,632**	**1,668**	**1,840**	**2,046**
Net debt	**-80**	**288**	**540**	**530**	**541**
Total debt	532	1,069	1,110	1,131	1,163

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**7**	**-171**	**-125**	**140**	**99**
Net profit	74	90	-11	125	160
Depreciation & amortization	29	38	35	33	31
Forex gains	-20	-2	-2	-6	-5
Affiliate investment gains	1	1	1	1	1
Increase in net working cap	-97	-342	-242	-106	-181
Other	20	44	94	94	94
Investing cash flow	**-387**	**-167**	**-190**	**-125**	**-140**
Investment	-263	-8	-5	-3	-4
Increase in tangible assets	-129	-155	-100	-80	-70
Decrease in tangible assets	0	1	0	0	0
Other	4	-5	-85	-42	-66
Financing cash flow	**411**	**440**	**-57**	**-78**	**-66**
ST financial liabilities	52	390	42	21	32
Debenture/LT financial liabilities	57	146	0	0	0
Equity	460	1	0	0	0
Cash dividend	0	0	0	0	0
Other cash flow	-158	-99	-99	-99	-99
Consolidation adj and other	13	4	77	51	63
Increase in cash & equivalents	**44**	**105**	**-296**	**-12**	**-45**
Beginning cash & equivalents	289	333	439	143	131
Ending cash & equivalents	333	439	143	131	86
NOPLAT	115	315	**197**	**225**	**306**
FCF	**-122**	**-326**	**-225**	**60**	**29**

Valuation

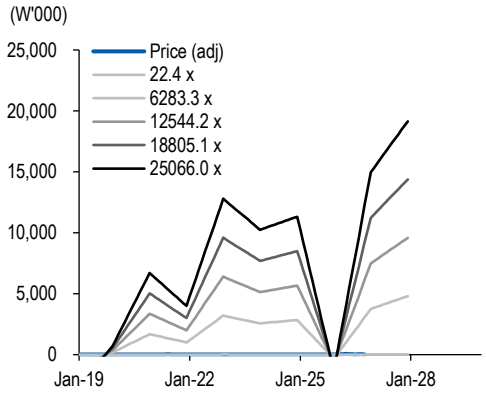
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	409	452	-53	597	764
BPS (won)	7,934	8,620	8,385	9,223	10,229
EBITDA/shr (won)	838	894	1,203	1,316	1,721
SPS (won)	19,092	19,502	23,845	25,963	29,793
DPS (won)	0	0	0	0	0
P/E (x)	**30.2**	**35.2**	**-386.7**	**34.3**	**26.8**
P/B (x)	**1.6**	**1.8**	**2.4**	**2.2**	**2.0**
EV/EBITDA (x)	**14.6**	**19.7**	**19.8**	**17.8**	**13.7**
P/S (x)	**0.6**	**0.8**	**0.9**	**0.8**	**0.7**

Key financial data

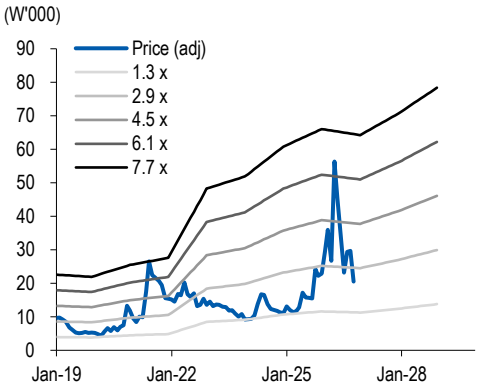
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**15.7**	**10.5**	**26.6**	**10.5**	**14.8**
Operating profit (%YoY)	**44.3**	**11.7**	**52.9**	**14.2**	**36.4**
Net profit, CI (%YoY)	**-0.2**	**19.6**	**TTR**	**TTB**	**27.9**
Gross margin (%)	8.0	7.8	8.6	8.9	9.9
Operating margin (%)	**3.5**	**3.5**	**4.3**	**4.4**	**5.2**
Net margin, CI (%)	2.1	2.3	-0.2	2.3	2.6
EBITDA margin (%)	4.4	4.6	5.0	5.1	5.8
ROIC (%)	10.0	20.9	8.9	9.0	10.5
ROA (%)	3.1	2.7	-0.3	3.0	3.5
ROE (%)	**5.8**	**5.5**	**-0.6**	**6.8**	**7.9**
Debt-to-equity (%)	76.6	114.0	126.7	121.8	119.0
Net debt-to-equity (%)	-5.4	18.0	33.0	29.4	27.1
OP/financing cost (x)	3.7	3.0	3.4	3.8	5.0

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

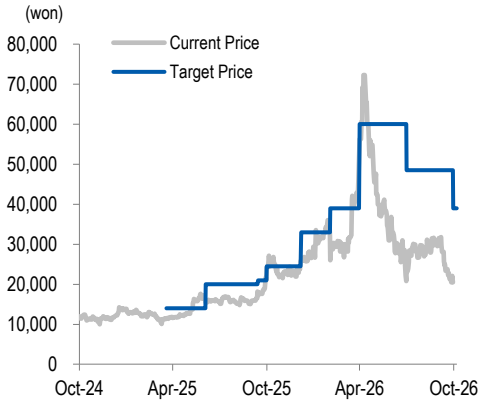
P/E band chart



P/B band chart



Taihan Electric Wire (001440 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/30	BUY	39,000	1 yr		
2026/07/31	BUY	48,500	1 yr	-43.54	-34.54
2026/04/30	BUY	60,000	1 yr	-31.51	20.50
2026/03/04	BUY	39,000	1 yr	-14.71	31.28
2026/01/06	BUY	33,000	1 yr	-10.39	9.09
2025/10/31	BUY	24,500	1 yr	-3.76	10.61
2025/10/14	BUY	21,000	1 yr	-10.99	3.33
2025/07/04	BUY	20,000	1 yr	-20.32	-9.30
2025/04/18	BUY	14,000	1 yr	-1.24	25.50

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 30, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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